Tirthankar Roy

An Economic History of India 1707-1857

SECOND EDITION

AN ECONOMIC HISTORY OF INDIA 1707–1857

This new edition of *An Economic History of Early Modern India* extends the timespan of the analysis to incorporate further research. This allows for a more detailed discussion of the rise of the British Empire in South Asia and gives a fuller context for the historiography.

In the years between the death of the emperor Aurangzeb (1707) and the great rebellion (1857), the Mughal Empire and the states that rose from its ashes declined in wealth and power, and a British Empire emerged in South Asia. This book asks three key questions about the transition. Why did it happen? What did it mean? How did it shape economic change? The book shows that during these years, a merchant-friendly regime among warlord-ruled states emerged and state structure transformed to allow taxes and military capacity to be held by one central power, the British East India Company. The author demonstrates that the fall of warlord-ruled states and the empowerment of the merchant, in consequence, shaped the course of Indian and world economic history.

Reconstructing South Asia's transition, starting with the Mughal Empire's collapse and ending with the great rebellion of 1857, this book is the first systematic account of the economic history of early modern India. It is an essential reference for students and scholars of Economics and South Asian History.

Tirthankar Roy is Professor of Economic History at the London School of Economics, UK. He has published extensively on South Asian history and development and has taught courses on South Asia and Global History. His recent books include *An Economic History of Colonialism* (with Leigh Gardner, 2020), *Crafts and Capitalism* (Routledge, 2019) and *A New Economic History of Colonial India* (co-edited with Latika Chaudhary, Bishnupriya Gupta, and Anand V. Swamy, Routledge, 2015).

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PREFACE

This is a much revised and enlarged version of the book (*An Economic History of Early Modern India*), first published in 2013. Since then, the field has seen new research, which called for a new book and a different way of organizing it.

There is another difference. *Early Modern India* wanted to contribute to two debates that were popular in 2012. One of these was the great divergence debate, and the other one discussed whether there was more growth or more decline in the 1700s. Both these debates are obsolete now. The book is not about the origin of world inequality and needs to keep a distance from that debate. The growth versus decline topic is problematic because most contributors to that discussion offered conjectures. Recent statistical work has left it behind.

One proposition the book did make, but in an understated way. The period was significant in Indian economic history for the emergence of a merchant-friendly regime and for an innovation in state structure, from a decentred political system towards the consolidation of taxes and military capacity in one centre. This book builds on that proposition.

I have explored the thesis with evidence in several recent works. Among others, I have drawn on several versions of an essay eventually published in Anne Booth and Ewout Frankema, eds., *Fiscal Capacity and the Colonial State in Asia and Africa, c.1850–1960* (Cambridge, 2019), and on 'The Mutiny and the Merchants,' published in *The Historical Journal*, 2016.

I wish to thank Mrinmoyee Roy who read and suggested improvements in Chapter 1.

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1

INTRODUCTION

In the years between the death of the emperor Aurangzeb (1707) and the annexation of Maratha territories by the British East India Company (1818), the Mughal Empire and the states that rose from its ashes declined in wealth and power, and a British Empire emerged in India. By 1857–1858, when British rule in India faced a crisis and survived it, the empire had grown in scale, reformed institutions to make its power more secure, and sponsored an economic system that looked very different from economies in the past in this region.

The transition raises several questions. Among the contenders for power after the Mughal collapse, the Company was not the most obvious candidate to succeed. It was a business firm, not a military force. Why would it want to take over the government? Why now? Although always close to British politics and commanding arms, it was not militarily stronger than its rivals like Tipu Sultan of Mysore or the Marathas in western India. Why did it prevail in the contest for power that followed the Mughal collapse? What kind of a state did it create? How did political change shape economic change in the region in the long run? This book is an attempt to answer these questions. The answers help to understand the dual transition in politics and economics in India between 1707 and 1857 – a key process in the making of modern India.

While describing what happened, the book will also prove a thesis. The formation of the Company state stood for a strong form of political integration based on the concentration of military and taxation power. Political integration facilitated market integration. Therefore, a new type of state delivered a new economy, which gave stability to the state. Britain's empire in India did not arise from conquering or exploiting a weak power by a stronger one. It appeared instead by using the weaknesses and building on the strengths of the Indian political economy of the time. Taxation was a weakness of indigenous states; a robust business world was a strength. The Company solved the taxation problem and made the business world its ally.

These movements created a militarily stronger state, encouraged trade, expanded the variety of goods traded, helped the merchants, and harmed the warlords. The shift in wealth and power generated a fierce backlash in 1857, but the shift was also responsible for the rebellion's failure. Many warlords opposed the regime, and the merchants and bankers supported it. However, the transition did not profoundly transform the lives of ordinary people, especially those in the countryside. The colonial state had neither the will nor the money to make a significant difference to peasants and labourers. The growth of commodity trade may have helped some peasants in some places, but the effect was modest in scale.

The bare facts of the origin of the British Empire in India are well known. A quick recap may still be useful.

The emergence of British rule in India

Shortly after Aurangzeb's death, the Mughal Empire that had ruled over the Indo-Gangetic Basin since 1526 started breaking up.[1] In Bengal Hyderabad and Awadh former provincial governors established independent rules. In Deccan, eastern Rajasthan, and north-western India, landlords and warlords rebelled. Several new states emerged from this turmoil. Militarily the most powerful was the dominion of the Marathas ruled by several clans. Battles between rivals and alliances became common.

British rule in India began with the trading enterprise of the East India Company. The Company was established as a trading firm in 1600, with a licensed monopoly (charter) to trade in the Indian Ocean. Negotiating rights to trade in India and staving off rivals and private traders pushed the Company into playing a political role from time to time. Towards the end of the 1600s, the Company's local officers had set up three bases on the coast – Madras, Bombay and Calcutta – mainly to protect themselves from other Europeans.

Until 1740, the three ports were small settlements of traders and soldiers. But in the 1740s, many Indian traders and bankers fled the embattled inland states and moved into the safety of these three towns. In the backdrop of the Mughal Empire's collapse and conflicts among Indian states that came after the rule, the Company engaged more frequently with politics. Their naval stronghold came in handy sometimes. After 1800, the three cities enjoyed peace. The wealthiest people in these towns around 1820 were Indians, interested in shipbuilding, Indo-China trade, coastal trade, Arabian Sea trade, and overland trade. Their migration had made these spots centres of wealth. They were already centres of power. From these bases, the Company joined the military contest inland.

The origin of the British Empire in India can be described as a sequence of two stages. In the first phase, 1765–1784, the Company officers acquired territories, experimented with systems of rule, and faced charges of a conflict between private or commercial and the public interest. The Company acquired control over eastern and south-eastern India around 1770. The regime expanded towards north, west,

and south India via strategic alliances and warfare. With the end of the third Anglo-Maratha war in 1818, the Company's empire was secure.

In 1784, the British Parliament began to oversee Indian administration. In the second stage that started in 1784, the private mercantile interest behind political decisions receded, and institutional and military reforms set out the plan for imperial rule. In 1813, the charter to trade in India as a monopoly ended. Until the mutiny-cum-rebellion of 1857, the state acquired more territories and spent more time and energy on infrastructure and institutions. Christopher Bayly called the rule between 1780 and 1830 British 'imperial meridian,' meaning that an opportunistic form of power transformed into a directly governing one in this time, in turn engaging the home government in foreign rule more deeply than before. A militaristic state started thinking beyond its survival and about public goods and institution-building. The end of conflicts and military threats was necessary to make that transition possible.[2]

Why did the East India Company succeed in the contest for power? In the late 1700s, the steps that led to a Company state in India did not follow a blueprint designed at the firm's head office but followed the instincts of those running the branches in India. These people did not leave enough testament for us to guess whether it was their scheming nature or a perception of threat that led them to join Indian politics. In one version of history, deceit and cunning do receive more emphasis.

Saviours or villains?

The emergence of a British Indian state is sometimes explained in terms of some exceptional qualities of India's early Company rulers. In imperialist history, the Company's officers were gifted and far-sighted people. They did a favour to the Indians who were suffering from the misrule of the indigenous kings by establishing a state. The scholars and publicists who justified England's conquest of India argued that colonialism had brought peace to a divided and violent society. James Mill's *History of British India*, and 60 years later, John Strachey's *India: Its Administration and Progress* are examples of this style of writing. Both writers believed that the early East India Company government was sometimes corrupt and cumbersome, partly because it relied too much on Indian partners and Indian tradition in its government. But both believed Robert Clive when he justified 'assuming the power that is in us of conducting … the affairs both civil and military of this settlement,' by saying that the alternative would be 'anarchy, confusion, and, what is worse, an almost general corruption.'[3] 'In place of constant anarchy, bloodshed, and rapine,' echoed John Strachey, 'we have given to [India] peace, order, and justice … it is the strong hand of England alone which maintains peace …'[4]

In recent studies, the emergence of a British Indian state is again explained in terms of the exceptional quality of the British adventurers who created that state. But now, that quality is the opposite of what Mill and Strachey celebrated. In this image, the Company succeeded because it was corrupt, opportunist, and manipulative. For

the East India Company, 'honour was an irrelevant concern,' writes Shashi Tharoor.[5] Combining 'the license to loot everything' with 'perfidy, chicanery and cupidity,' the Company extracted wealth from the native princes, and by these means established a rule that was 'hardly a … contribution to good governance.' The 'conquest of India,' writes Deepak Lal, built upon 'perfidious deals.'[6] The Company, says William Dalrymple, 'remains today history's most ominous warning about the potential for the abuse of corporate power.'[7] The British 'conquest' of India, according to him, was the 'supreme act of corporate violence.'

These two images are identical; the only difference being that the Europeans and the Indians switch roles. Both stories flatten differences within each set. And both are unconvincing for the following reason. The idea that the emergence of a British Empire in India had owed to some unique quality of the British merchant adventurers of the late eighteenth century begs assumptions about their Indian rivals. To believe – as Mill or Strachey did – that the Company officers were peace-loving implies that all their Indian opponents were violent. Mill and Strachey had no evidence to prove this. To believe – as Tharoor and Dalrymple do – that the Company officers were venal implies that their Indian opponents were too honest for their own good. '[F]airly decent,' Tharoor airily calls the Indian forces of the time. That set included the Maratha mercenaries of central India, long-remembered in western Bengal for rape and pillage. Mill and Strachey were not sufficiently well informed to bat for the imperialists. Tharoor and Dalrymple are not sufficiently well informed to bat for the Indian warlords. Claims like theirs peddle sentiments – triumph or righteous outrage – but they are not correctly based on evidence and not reliable as history.

To say that the Company abused corporate power amounts to saying that the Indians were too stupid to see what was going on and adopt the same organizational models. Of course, the Company was a corporate firm, and landlords and warlords ruled the Indian states. That difference could explain their choice of allies and partners. Beyond that, corporate identity mattered little. The larger states, like the Peshwa territory based in Pune in 1760, commanded enormous revenues. Initially, these states could command land armies that were many times larger than the Company's forces. The London shareholders and directors did not want the branches to join military contests; the branches defied orders from above. The Company's empire happened not because of but despite the corporate form.

Popular history of this kind assumes that the empire in India was a violent conquest. Europeans, the myth goes, invaded Indians, who did not want to be subjugated and went down fighting. The sentiment of triumph in imperialist history and outrage in nationalistic history follow from this narrative. The only difference between the two is that the Indians appear in one story as villains and in another as a tragic hero. Turning the emergence of the empire in this way into a battle between good and evil creates melodrama; it invites the reader to take sides in a fake holy war. But if good soap opera, it is bad history. The empire was not an invasion. Many Indians, because they did not trust other Indians, wanted the British to secure power. They preferred British rule over indigenous alternatives and helped the Company form a state, as we see next.

The shifting alliance theory

The empire emerged mainly from alliances. It emerged from lands 'ceded' to the Company by Indian friends, rather than lands that it 'conquered.'[8] What had made the alliances possible, even likely? Since the early 1980s, when Christopher Bayly published path-breaking works on the East India Company rule, historians have known that the Company was nothing without its Indian allies. '[A]t every stage,' writes P.J. Marshall, 'accommodations between British and Indian interests were … crucial to the rise of British ascendancy.'[9] This accommodation was based on shared self-interest. To understand its political success, then, requires an understanding of the interests of those who allied with this force. The Company came to rule India because many Indians wanted it to rule India. '[T]he story of Britain's rise to global supremacy,' to cite Marshall again, 'needs to be more than an analysis of Britain's undoubted strengths. Whether these strengths could be used effectively or not ultimately depended on the dispositions of the peoples whom the British encountered …'[10]

The idea that the British Empire in India was the product of alliances found its fullest development in C.A. Bayly's classic *Rulers, Townsmen and Bazaars*.[11] In 1983, when the book was published, 'this insistence on the indigenous component in European expansion' was already 'pervasive, even cliché-ridden.' But the contact point between European expansion and indigenous society had remained indistinct. In Bayly's reading, 'the junction' formed of 'a range of intermediate entities [between the state and the peasants] with strong internal organisation from which were recruited, ultimately, the Indian middle class… The incoming colonial power and European traders succeeded when they were able to cajole, entice or manipulate these intermediate groups.'[12]

No single class shared more interest with the British than did the merchants. Collaborations with them were the basis on which European trade functioned. In most places, especially in Bengal, the Company found collaborators because there was already a rich and powerful set of capitalists in these regional economies. The post-Mughal states or successor states depended on the capitalists for their survival. The mutual dependence and shared interests between the ruling classes and the groups like these is indisputable. Merchants, therefore, figure in a large way in Bayly's narrative.

The book dealt with a part of the Indo-Gangetic Basin over which the Mughals had firm control once but was losing control from the early 1700s. A fertile and commercial zone, the landscape being dominated by the preeminent service-oriented town, Benares, the British Company wanted to control the region, and succeeded from the 1770s in doing so. In turn, the Benares bankers and merchants who feared state collapse more than British rule, declared unqualified support for the new regime on many occasions (see below). Further east in Bengal, the example of Jagatseth, the court banker who secretly helped Robert Clive, again supports the theory that an alliance between two sets of businesspeople could cause a transfer of power. A part of the argument applies to all successor states, the British in Bengal

included. In peacetimes, the successor states encouraged commerce and trade. Nearly all region-bound economic histories show that they did.[13] As Tilottama Mukherjee suggests for Bengal under Nizamat rule, the wish to do so stemmed from the states' dependence on inland customs duties, which was significantly greater than often imagined.[14] Because they had gained, traders might be readier to make common cause with the Company if they expected instability and extortion by indigenous warlords to grow.

This account of a merchant–merchant alliance, however, is neither wholly persuasive nor generalizable to all of India. It is not totally persuasive for two reasons. First, the mutual dependence between the East India Company and the indigenous merchants was not risk free. Despite the overlap of economic interests, the Company did not trust the Indian merchants. The relationship was an unstable one and filled with mutual suspicion as long as the Indian actors remained close to the successor state courts. Only in the cities directly ruled by the Company, the relationship was more stable. Second, the account overstates the successor states' ability to sustain commercialization. The costs of internal trade remained high, possibly increased after Mughal disintegration (see below). The larger states had to spend more money than they could afford on wars. Warlords eager to fight with a formidable enemy would not be the best choice as debtors for any banker. During the Maratha raids in western Bengal, the collapse of authority in the Indo-Gangetic Basin, and interstate wars in west India, Bengali, Marwari, and Khatri merchants left homes to seek the greater safety of the Company's port cities. The Parsis similarly left Surat for Bombay. In other words, what we might think of as an 'alliance' was in fact no more than a flight of capital into the safety of the Company ports.

The narrative is not generalizable either. The intermediate group is essentially a Gangetic Basin construction. The idea of a capitalistic alliance, or what Bayly calls a 'middle class,' does not work well in central, southern, or western India, where the partnerships were more formal, more military, and formed among political actors. These drier geographical zones neither had large urban centres nor a significant intermediate group. In fact, the Indo-European alliances in most places came from another, mainly political, source. In the 1770s or the 1780s, the British in India were regarded as a force but not necessarily the future empire. Something else worked for them, the greater stability of the alliances they struck than those their rivals did. Mandar Oak and Anand Swamy consider what factors made these alliances stable or unstable. They show that after the Parliament inserted itself in the governance of Indian territories in 1784, the Company commanded more trust among some Indian political actors. That element of trust was missing or weak among Indian rivals. Alliances, in other words, worked asymmetrically among contending powers.[15]

The alliance theory shifts attention from the Company and its employees towards the elite prominent in the successor states, who may have had a reason to want a Company state. What about the states themselves? Surely, they were not equal in their capacity to build and sustain military projects? Where did that capacity come from?

The superior force theory

European trade in the Indian Ocean relied on an infrastructure consisting of ports, fast ships, gunships, employees trained in using arms, and occasionally the right to call in royal military help, which could be used to inflict damage on rivals and defend against rival attacks. Much of that infrastructure was directed at European competitors. The sponsorship of 'mercantilist' states took that warlike element to another level with the British East India Company.[16] The Company was also a political entity in its own right. 'The line between governmental and commercial enterprise,' writes Jay Geller, 'had always been uncertain' in eighteenth-century India.[17] Philip Stern says that the Company was 'a form of early modern government,' using the idea to question a conventional distinction between a 'trading era' and an 'imperial era' in the Company's history.[18]

It is necessary to be clear what such power can or cannot explain. It cannot explain why the Company was an extraordinarily profitable firm. It was profitable not because of the state's backing but because it was an efficient firm. A monopoly charter from the Crown might have helped to reduce competition from other British traders but did not help the firm deal with competition from other European or Indian enterprises in the Indian Ocean. It was profitable because it was a good firm, not because it was a state-like entity. It succeeded in trade because it could pool in a lot of capital, offer incentives to its employees, build stable collaborations with Indian agents and brokers, understand and study markets, and get goods manufactured to exact specifications.[19] For much of its career, the Company had little political power in India to bully its suppliers.

Power does not explain profits. But proximity to power might explain a readiness to take political risks, especially when profits came under threat. In this sense, the Company's political moves in India were consistent with its sense of itself as a firm close to the state. Too sharp a distinction between the commercial and the political profile of the Company suggests, wrongly, that the empire was an accident. It was not. However, that the Company was a state-like enterprise does not explain why it could prevail in the contest for dominance in the late eighteenth century. There were Indian states in the competition that were stronger.

A reference to its military power likewise would not explain why it could prevail on the battlefields. The Company controlled the seas with more force than any Indian coastal state of the time, and it had access to the Royal Navy when in trouble from rival Europeans. The decisive battles in the eighteenth century, however, happened on land. In land warfare, the Europeans brought into India some useful knowledge relating to infantry formation, command structure, professionalized officer corps, flintlock guns, cannons made of cast iron, and mobile artillery.[20] But these did not count as advantages because both battlefield strategy and military hardware had a ready market in the eighteenth century, and all contestants had access to that market. Indian states hired French and Portuguese advisers to close the gap if there was any. If the British were always militarily superior, they would not need the many alliances and partnerships they forged with the Indian powers.

Kaushik Roy shows that Western warfare methods were not superior to indigenous ones in the eighteenth century. They could not be distinguished since both the European and Indian forces attempted to construct hybrid methods, choosing elements that seemed to work best. In doing so, the Indian powers relied on European advisers and mercenaries when they needed to. The Company nevertheless prevailed in the game. 'The Westernization programme,' writes Roy, 'put a heavy strain on the economies of the Indian rulers. This was especially true for the Marathas. However, the principal problems were political and military.'[21] Whereas this interpretation places more weight on strategic differences (better use of the horse artillery by the Company forces, for example), I stress the fiscal aspects in this book. I stress the economic reforms that enabled the Company to raise more money and thus fund a bigger army and command it from a single centre.

The fiscal capacity theory

The successor states were a work-in-progress, and most could not finish reforming the finances to suit their military ambitions. Conflicts in the Deccan Plateau among states that lived on little money and had no time to consolidate their finances drained all of them of resources and sovereign authority, made them reliant on regional chiefs and warlords, and drove some to make alliances with the British.

Why the scramble for finance? Much of India consists of drylands where agriculture produces a small subsistence thanks to a low land yield. States that lived on land taxes were as poor as the peasants that they taxed. This was true of the Mughal Empire and of the successor states that followed the empire. Indeed, it was true for most Asian empires before the nineteenth century. Along a wide space running from West through South to East Asia, imperial states in the seventeenth century earned a very small revenue per head compared with contemporary states in Western Europe.[22] Resource-poverty made states fiscally and militarily weak and dependent on the loyalty of regional elites and warlords. Like the Mughal Empire earlier, these states had more control over and knowledge of an agriculturally well-endowed area and collected a tribute from a semi-arid periphery that was practically independent. Such dualism persisted into the eighteenth century in the affairs of the successor states.

The Mughal imperial state survived on the back of the military supplies that came from the regions and the landed magnates' loyalty. They collected taxes and supplied soldiers in battle. The imperial centre's hold upon the regions was never totally secure. The South Asian mainland had access to the sea, maritime trade, port cities, irrigable deltas, and river valleys, and these resources sustained industry, commerce, finance, and states. But the extra resources did not create rich imperial states because the seaboard itself was not an integral part of the inland empires. The centre's dependence on the local magnates did not diminish since a lot of the taxes came from the land.

When such an empire broke up, it unleashed a competition for limited revenues. The successor states could, in theory, try to centralize their taxes and, in the process,

reduce the courts' dependence on the warlords and chiefs who collected the taxes. Very few rulers took this course. Tipu Sultan of Mysore contemplated it but did not get very far. Therefore, competition for taxes took the form of extortion of weaker states and led to frequent conflicts.

If conflicts and competition impoverished the successors, it affected the Company differently. Soon after it came in possession of Bengal, one task occupied it above all, drawing in more taxes to the centre. Control of the land was the source of military power and fiscal power in India. Over the 1770s and the 1780s and culminating in the Permanent Settlement of 1793, the Company's reforms in property rights removed any right to control land that did not derive from ownership. Many people who earlier had a right to tax the peasants, and therefore commanded arms, but did not own or cultivate land lost their power to tax. The long-term effect of that policy was the concentration of land taxes and military power at the top.

The Company formed the strongest state in India because it was a different rule from the post-Mughal successors. To a greater extent than any other South Asian state of the past, the British demilitarized the armed groups like jagirdars and zamindars, who earlier collected taxes and enjoyed local political power. Such people, if they rebelled together, could and did bring an empire down. To suppress them and secure its future, the British raised a standing army, combined it with a navy, funded the whole enterprise by a bureaucratic fiscal machine, and through that army, imposed political unity on a region where power had always been fragmented and decentralized. 'By the end of the nineteenth century,' wrote John Richards, 'North Indian rural society was disarmed as thoroughly as any similar social formation across Eurasia.'[23] The region that once supplied part-time soldiers to a whole variety of rival armies became the recruiting ground for a single military machine. Soldiers could earlier choose employers. Now, service demanded loyalty, traded against a round-the-year salary and a pension plan.

Besides the standing army that replaced the mercenaries bearing arms, the measures that contributed the most to the demilitarization plan included attacks upon weaker princely states, auctioning large estates in Bengal, and non-aggression pacts with states. The philosopher Edmund Burke, a fierce critic of the Company's administration in Bengal and a campaigner for a just empire in India, singled out one act of injustice and inequity above all, the recklessness with which the first Governor-General Warren Hastings supervised 'the ruin and expulsion of great and illustrious families, the breach of solemn public Treaties, the merciless pillage and total subversion of the first Houses of Asia.'[24] During Hastings' tenure, the Company officers also perfected a system of treaties with Indian kings. In its final shape, the terms of the treaty implied that the kings would maintain armies in their territories but would not command these independently. If this clause took away their independence on one vital point, it made them more secure from potential attacks by other kingdoms, for British India would then come to their assistance.

All this was not part of a plan. Being commercially minded and of part-European origin, the regime carried a suspicious attitude towards the indigenous aristocrats. It created a government less dependent on regional chiefs than its predecessors. It

did not bring all the periphery under direct rule. Nor could it expand the tax base a lot more. But it could draw in a lot more money to the centre than its rivals and predecessors and use that money to build an army. That innovation made the core more robust than before.

Therefore, the British Empire represented a different type of state from its predecessors because it introduced an innovation in the state structure, consolidation of taxes, and armies in one centre. The most direct measure, if not the only meaningful measure of a state's strength, is the revenue that it can collect (see Chapter 3). By this benchmark, the Company was both more successful and a more distinctive kind of state. Most Indian rules did not function in this way, and some tried but failed to concentrate military-fiscal authority.

Seaboard access, the Royal Navy's backing, and a standing army that the Company raised built the foundation of a military despotism unprecedented in its strength in this region. Early British writings about Indian states loosely employed this term, military despotism, to refer to others. Bayly applied it to the Company.[25] I draw an economic implication from it. What difference did it make to long-term economic change? Concentrated power of that kind could be deployed for different purposes. This state's priority was to promote commerce, thus making for the emergence of a new economic system in colonial India. As its military might grew, the empire could create an integrated political space in South Asia, the like of which the region had not seen before. Political integration secured integration of markets for commodities, capital, and labour, and closer union between internal trade and maritime trade. Most of the princely states that retained their independence accepted the idea of an economic union without much resistance. Even the mutiny-cum-rebellion did not challenge the economic union, nor was it essentially a rejection of the union. Military despotism had already made agreement on an economic union an accomplished fact.

The new economy

Possibly from the second quarter of the nineteenth century or a little after, internal trade revived after a period of depression during fragmentation and collapse of state power. In the 1700s, wrote Dwijendra Tripathi, fragmented power meant 'a network of customs barriers… existence of innumerable systems of currencies … and frequently fluctuating exchange rates.'[26] The problem of transaction costs to internal trade had increased manifold with the collapse of the Mughal Empire. Sumit Guha has recently shown that at the height of its power, the Mughal state gathered half its gross revenue from inland trade duties and customs.[27] Like nearly all other tax types, the trade taxes did not all reach the central treasury but were retained by local officers for their upkeep. What would have happened after the Mughal collapse was that the taxes remained, but the authority and the right to tax disintegrated down to local warlords, potentially increasing uncertainty on the rates and the legitimacy of the right to collect. While these obstacles did not stop the growth of regional

markets, they 'were detrimental to the growth of any large-scale commercial undertaking,' wrote Tripathi.[28]

That disorder receded somewhat with the consolidation of the Company as a territorial power. Inland transit duties were centralized and reduced, and abolished in 1838. In 1840, the Company collected 7–10% of its revenue from trade taxes, a massive decline from the 47% that the Mughals hoped to get by taxing trade. Among all the livelihood classes, the traders would have gained the most from the British Indian state's action.

A more long-term effect of the new state's rise was economic integration between the countryside and the port city. The Company emerged from the seaboard. Whereas most empires of the past had limited access to the seaboard, the British controlled the seaboard firmly and used that control to foster maritime trade. That control did not make them more powerful inland. But it did make the port city attractive for many Indian merchants. The other side of the shifting alliance was a growing synergy between the British Empire and the firms engaged in commodity trade.

The first formal example of the support of Indian businesses for the British Indian state was a pair of petitions prepared in 1787 by the residents of Benares, the leading hub of Indian banking and trade, in support of the government. The signatories in the second petition numbered several hundred, and many were bankers and traders. Several other similar testimonials followed in the next few years, 'signed or sealed by *amils*, zamindars, pandits, *ulema* and *muftis*,' which Warren Hastings used in his impeachment trial to show how popular he was in the civil society and the business world of India in his time. In 1792, after the conclusion of the third Anglo-Mysore war, another declaration of support followed; again, a third of the several hundred signatories were merchants and bankers.[29] More statements of support followed from Benares on every occasion the Company was engaged in a battle or won one. Again, businesspeople organized these collective shows of support.

Such shows of support lost their purpose after the empire consolidated. But the regime needed it badly in 1857. By 1857, the East India Company had left its commercial legacy far behind in the past. Trade was in Indian hands mainly. Indian merchants did not just declare support; they staked materiel and money to help the British military operation in northern and central India. With its enhanced power and commercial orientation, the Company had created an army of stakeholders in the emerging world of commerce; these people came to its aid.

That it was good for business there can be no doubt. Did the Company state make the ordinary Indians better-off?

Who gained?

The imperialist view discussed earlier suggests that the collapse of the Mughal Empire unleashed anarchy and economic decline. Some present-day historians agree that the Mughal Empire's collapse had a catastrophic effect, among other